

CAMS Exam Preparation
Domain A: Risks and Methods of
Money Laundering and Terrorist Financing (20 percent)

Advanced AML Training Framework

Domain A: 20 percent of CAMS Exam — 100+ Slides — ML Stages, TBML, PEPs, NPOs, Human Trafficking, Virtual Assets

Core Concept

Money laundering is the process of making criminal proceeds appear legitimate through three distinct stages.

Stage	Definition	Examples
Placement	Introducing illicit funds into the financial system	Cash deposits, currency smuggling, purchasing assets with cash
Layering	Conducting complex transactions to obscure the audit trail	Wire transfers through multiple accounts, shell companies, trade invoices
Integration	Making laundered funds appear legitimate	Investing in real estate, luxury goods, business acquisitions

[!] Exam tests ability to identify which stage is occurring in a scenario. [FOCUS] Key

distinction: Placement = first entry into system. Layering = obscuring the trail. Integration = making funds appear legitimate.

Placement Methods

Placement is the most vulnerable stage for criminals because large amounts of cash are difficult to introduce without detection.

Common Placement Techniques:

- Cash deposits into bank accounts (often structured below CTR thresholds)
- Currency smuggling across borders (cash couriers)
- Purchasing monetary instruments (money orders, traveler's checks)
- Using casinos (buying chips with cash, minimal gambling, cashing out)
- Commingling with legitimate business revenues (cash-intensive businesses)
- Purchasing high-value assets (cars, art, jewelry) with cash
- Using prepaid cards (load with cash, use or resell)
- Hawala and informal value transfer systems

Red Flags for Placement:

- Cash deposits just below reporting thresholds (structuring)
- Multiple deposits from different locations on same day
- Cash-intensive business with deposits inconsistent with expected volume
- Customer unable to explain source of cash

[!] Structuring (smurfing) is a federal crime independent of the underlying source of funds.

Layering Methods

Layering creates distance between the criminal proceeds and their origin through complex transactions.

Common Layering Techniques:

- Multiple wire transfers through different banks and jurisdictions
- Using shell companies and offshore accounts
- Converting funds to different currencies
- Purchasing and selling assets (real estate, securities)
- Using trade-based money laundering (over/under-invoicing)
- Using virtual assets and mixers/tumblers
- Using casinos (chip washing)
- Using online gaming platforms and in-game currencies

Red Flags for Layering:

- Rapid movement of funds through multiple accounts
- Round-dollar wire transfers with no apparent business purpose
- Transfers to/from high-risk jurisdictions or secrecy havens
- Use of multiple intermediaries with no logical connection
- Transactions involving shell companies with opaque ownership

[!] Layering is the most complex stage and often involves multiple jurisdictions.

Integration Methods

Integration returns laundered funds to the criminal as apparently legitimate wealth.

Common Integration Techniques:

- Purchasing legitimate businesses (restaurants, retail stores, real estate)
- Investing in securities and financial instruments
- Using funds as collateral for legitimate loans
- Creating false invoices and business records
- Reporting laundered funds as business income on tax returns
- Purchasing luxury assets (yachts, art, aircraft)
- Establishing trusts and foundations

Red Flags for Integration:

- Purchase of high-value assets through shell companies
- Business with no clear source of funding for expansion
- Real estate purchases with all-cash through anonymous LLCs
- Unexplained wealth inconsistent with known income
- Transactions involving previously flagged layering accounts

[!] Integration makes laundered funds appear legitimate - often the hardest stage to detect.

[SCENARIO] Multi-Stage Laundering Scheme An organized crime group generates \$4 million in narcotics proceeds. The group's accountant deposits cash at 14 different branches, keeping each deposit between \$7,500 and \$9,800. The funds are consolidated into a holding LLC, which issues fictitious management-fee invoices to the original businesses. The LLC uses the funds to purchase three residential rental properties. Rental income is reported to the IRS as legitimate business income.

What the Exam Tests: Identifying which transaction corresponds to which stage.

How to Analyze:

- ① Step 1 (cash deposits): **PLACEMENT** - introducing cash into system
- ② Step 2 (fictitious invoices): **LAYERING** - creating false paper trail
- ③ Step 3 (property purchase): **INTEGRATION** - investing in legitimate assets
- ④ Step 4 (rental income): **INTEGRATION** - making funds appear legitimate

[TRAP] Common Distractor: "The fictitious invoices represent integration." [CORRECT]

Correct Answer: Fictitious invoices create a paper trail to obscure origin = LAYERING.

Property purchase with laundered funds = INTEGRATION.

What is TBML?

The process of disguising criminal proceeds through trade transactions using over-invoicing, under-invoicing, phantom shipments, or multiple invoicing.

Primary TBML Techniques:

- Over-invoicing: Exporter inflates invoice price to transfer value from importer to exporter
- Under-invoicing: Exporter lowers invoice price to move value from exporter to importer
- Phantom shipping: No goods actually shipped; only paper documentation exists
- Multiple invoicing: Same goods invoiced multiple times to different buyers
- Short-shipping: Shipping less than invoiced amount
- Misrepresentation of goods: False description of goods on customs forms

Red Flags for TBML:

- Invoice price significantly above or below market value
- Multiple amendments to letters of credit without logical explanation
- Round-dollar invoices (not typical for genuine trade)
- Shipment routing through free trade zones or unusual transshipment points
- Inconsistent cargo description, weight, or value
- Shell company involvement on either side of transaction

[!] TBML is considered the most difficult ML typology to detect.

Over-Invoicing - Value Transfer to Exporter

Over-invoicing moves value from the importing country to the exporting country.

Over-Invoicing Example: Market price = \$180 per unit. Invoice price = \$1,200 per unit. Importer pays \$1,200, but goods are only worth \$180. The extra \$1,020 per unit is transferred to the exporter disguised as legitimate trade payment.

Under-Invoicing - Value Transfer to Importer

Under-invoicing moves value from the exporting country to the importing country.

Under-Invoicing Example: Market price = \$400 per unit. Invoice price = \$80 per unit. Importer pays \$80 but can sell goods at \$400 market price. The \$320 per unit difference becomes laundered cash for the importer.

[TRAP] Common Distractor: "Under-invoicing benefits the exporter." [CORRECT] Correct Answer: Over-invoicing transfers value TO exporter; Under-invoicing transfers value TO importer.

[SCENARIO] Grossly Under-Invoiced Electronics Shipment A trade finance bank reviews a letter of credit for export of 5,000 industrial electronics units. Invoice price = \$80 per unit. Global market price = \$400 per unit. Exporter is a shell company in a secrecy haven incorporated 11 days ago. Importer is a licensed manufacturer in a FATF-compliant country. Payment routed through the exporter's account at a shell bank.

What the Exam Tests: Recognizing under-invoicing as a TBML technique.

How to Analyze:

- ❶ Market price is \$400, invoice is \$80 = 80 percent under-invoicing
- ❷ Value is being transferred from exporter to importer
- ❸ Importer will sell goods at market price, generating laundered cash
- ❹ The exporter's shell company and secrecy haven jurisdiction are additional red flags

[TRAP] Common Distractor: "The exporter is over-invoicing to move value out of the country." **[CORRECT] Correct Answer:** This is UNDER-INVOCING. The importer pays less but sells at market price, generating laundered legitimate cash.

[SCENARIO] Phantom Shipment with No Physical Goods A bank reviews a trade finance transaction for "industrial machinery components" from a recently incorporated supplier with no verifiable manufacturing capability. Invoice value is \$2.5 million. Shipping documents include a bill of lading from a carrier that, upon investigation, has no record of the shipment. The same supplier name appears on three other pending transactions from different buyers.

What the Exam Tests: Recognizing phantom shipping red flags.

How to Analyze:

- ❶ No actual goods exist - only paper documentation
- ❷ Supplier has no manufacturing capability
- ❸ Bill of lading is fraudulent (carrier has no record)
- ❹ Same supplier appearing across multiple suspicious transactions is critical red flag
- ❺ Bank should decline financing and file SAR

[TRAP] Common Distractor: "All documentary requirements appear valid, so the bank should process the transaction." **[CORRECT] Correct Answer:** Phantom shipping uses fabricated documentation to move funds. The bank should decline, file SAR, and consider terminating the buyer relationship.

FTZ Money Laundering Risks

Free Trade Zones have relaxed regulatory oversight, minimal customs inspections, and intense volume of re-exported goods.

FTZ Red Flags:

- Cargo passing through FTZ with no legitimate economic reason
- Altered bills of lading showing different origin after FTZ processing
- Uniform invoice values regardless of actual cargo type
- Phantom shipments (containers declared as goods but found empty)
- Misabeled cargo (luxury electronics declared as low-value scrap)
- Nominee directors with no legitimate business role

Exam Scenario Example: A shipping company operating exclusively in a Free Trade Zone processed 340 containers declared as "industrial parts" with uniform invoice value of \$30,000. Physical inspection revealed one container empty, one containing household furniture, and one containing luxury electronics worth \$400,000. Bills of lading altered to show generic descriptions.

[TRAP] Common Distractor: "FTZs are supervised by customs authorities, so no additional AML scrutiny is needed." **[CORRECT] Correct Answer:** FTZs create TBML vulnerabilities including phantom shipping and cargo mislabeling. Banks must apply enhanced scrutiny to FTZ transactions.

What Makes Shell Companies Vulnerable?

Shell companies have no physical presence, no employees, and no legitimate business operations - making them ideal for layering.

Shell Company Red Flags:

- Use of bearer shares or nominee shareholders to obscure ownership
- Multiple layers of corporate entities across secrecy havens
- Registered agent address is a mail drop or corporate service provider
- No verifiable business purpose or operations
- Recently incorporated with no operating history
- Transactions inconsistent with stated business purpose
- Refusal to provide beneficial ownership information

Bearer Shares Vulnerability: Bearer shares transfer ownership through physical delivery of the stock certificate - no public registry. The true owner is anonymous. FATF requires countries to either prohibit bearer shares or require immobilization with a custodian.

[!] Bearer shares + secrecy haven jurisdiction = highest risk.

UBO Calculation Example

Under FATF standards, beneficial ownership is calculated by aggregating direct and indirect ownership.

Example Structure:

- Individual K owns 18 percent of TargetCo directly
- Individual K owns 90 percent of Zenith Holdings LLC
- Zenith Holdings LLC owns 15 percent of TargetCo
- UBO threshold = 25 percent combined

Calculation: 18 percent direct + (90 percent x 15 percent indirect) = 18 percent + 13.5 percent = 31.5 percent.

Result: Individual K exceeds the 25 percent threshold and **MUST** be identified and verified as a UBO.

[TRAP] Common Distractor: "Only direct ownership counts; indirect stakes are irrelevant."
[CORRECT] Correct Answer: Both direct and indirect ownership must be aggregated. The calculation multiplies through each ownership tier.

[SCENARIO] Three Layers of Shell Companies An investigation reveals a complex structure: Company Alpha is owned by Company Beta (Panama), which is owned by bearer shares held by a corporate service provider in the Bahamas. The custodian refuses to disclose the bearer share holder's identity. The beneficial owner cannot be identified from any public registry.

What the Exam Tests: Bearer share risks and CDD obligations.

How to Analyze:

- 1 Bearer shares create anonymity for the true owner
- 2 Immobilization with a custodian is insufficient if custodian won't disclose identity
- 3 The bank cannot complete adequate CDD without UBO identification
- 4 The account should be declined

[TRAP] Common Distractor: "Immobilization of bearer shares with a licensed custodian satisfies all BO requirements." **[CORRECT] Correct Answer: The bank still needs to identify the beneficial owner. Immobilization alone does not eliminate the need for UBO identification.**

What is BMPE?

A currency exchange system that uses drug dollars in the U.S. to pay legitimate invoices for foreign merchants, allowing Colombian peso brokers to profit from the exchange rate spread.

BMPE Mechanism:

- 1 Drug cartels have U.S. dollars from narcotics sales
- 2 Colombian peso broker buys the dollars at a discount
- 3 Broker uses the dollars to pay U.S. invoices of Colombian importers
- 4 Colombian importers repay the broker in pesos
- 5 Cartel receives pesos in Colombia (cleaned through the trade system)

Red Flags for BMPE:

- U.S. importer receives structured cash deposits from unrelated third parties
- No logical relationship between depositors and importer
- Corresponding imports into Colombia at below-market prices
- No direct wire transfers between U.S. and Colombia
- Cash deposits used to pay commercial invoices for foreign merchants

[!] BMPE allows drug cartels to convert U.S. dollars to Colombian pesos without cross-border currency movement.

[SCENARIO] U.S. Importer Receives Structured Cash Deposits A U.S. textile importer's accounts receive \$8.7 million in structured cash deposits from 43 different individuals with no apparent business relationship. Concurrently, a Colombian textile wholesaler receives shipments at 35 percent below wholesale price, paid in pesos by a local broker. No funds are wired directly between Colombia and the United States.

What the Exam Tests: Recognizing BMPE as the criminal mechanism.

How to Analyze:

- ❶ Cash deposits from unrelated third parties = narco-dollar collection
- ❷ Broker uses dollars to pay U.S. importer's invoices
- ❸ Colombian importer repays broker in pesos
- ❹ Result: dollars stay in U.S., pesos delivered to cartel in Colombia
- ❺ No cross-border currency movement = evades detection

[TRAP] Common Distractor: "This is a standard hawala arrangement." **[CORRECT] Correct Answer: This is BMPE - narco-dollars pay U.S. commercial invoices; Colombian importers repay in pesos. The broker profits from the exchange rate spread.**

Definition of PEP

Individuals entrusted with prominent public functions, their family members, and close associates.

Who Qualifies as a PEP?

- Heads of state and government
- Senior politicians and cabinet ministers
- Senior judicial officials
- Senior military officials
- Senior executives of state-owned enterprises
- Members of supreme audit institutions
- Members of the boards of central banks
- Ambassadors and senior diplomats

PEP Family Members and Close Associates:

- Spouse, partner, children, parents, siblings
- Business partners or close advisors
- Beneficiaries of trusts or foundations established by the PEP

[!] PEP status requires ENHANCED DUE DILIGENCE and senior management approval.

Key Distinction

Foreign PEPs generally require more intensive due diligence than domestic PEPs.

Foreign PEP	Domestic PEP
Holds prominent position in another country	Holds prominent position in same country
Highest risk - requires full EDD	Moderate risk - EDD required but may be less intensive
Source of wealth and funds verification required	Source of wealth/funds may be more accessible
Senior management approval required	Approval may be delegated
Enhanced ongoing monitoring required	Monitoring commensurate with risk

International Organization PEPs: Senior officials of international organizations (UN, IMF, World Bank, EU) are also considered PEPs.

[TRAP] Common Distractor: "Domestic PEPs are exempt from enhanced due diligence."

[CORRECT] Correct Answer: FATF requires enhanced due diligence for domestic PEPs, though intensity may be less than for foreign PEPs.

[SCENARIO] Adult Daughter of Foreign Minister Opens Account Ms. Y, adult daughter of the Minister of Energy of an oil-rich nation with high corruption indices, wishes to deposit \$18 million from "consulting fees" paid by energy logistics firms to her BVI company. She holds no government position.

What the Exam Tests: PEP family member classification and EDD requirements.

How to Analyze:

- ① Ms. Y is a PEP FAMILY MEMBER (not a PEP herself)
- ② PEP family members require Enhanced Due Diligence
- ③ The ambiguous "consulting fees" from energy firms related to her father's ministry is a critical red flag
- ④ Source of wealth and funds must be verified through corroborative documentation

[TRAP] Common Distractor: "Ms. Y holds no government position, so standard CDD is sufficient." **[CORRECT] Correct Answer: PEP family members require EDD. The ambiguous consulting fees from her father's ministry sector require intensified scrutiny.**

Post-Retirement PEP Treatment

PEP status should be maintained for a reasonable period after retirement, typically at least 12 months but potentially longer based on risk.

Factors for Ongoing PEP Status:

- Country's corruption risk level
- Former PEP's continued access to state influence
- Ongoing business connections to the government
- Time elapsed since leaving office
- Account activity patterns

Example: A former senior minister retired 5 years ago with 5 years of clean activity. Lowering the risk rating may be justified, but the decision must be documented and risk-based. The bank must consider the country's corruption risk and any ongoing government connections.

[TRAP] Common Distractor: "A former PEP can never be reclassified to lower risk."

[CORRECT] Correct Answer: Former PEPs may be reclassified after reasonable time (typically 12+ months) based on documented risk assessment, including country risk and ongoing influence.

Critical Distinction for Exam

Human trafficking and human smuggling are different crimes with different financial indicators.

Human Trafficking	Human Smuggling
Exploitation (forced labor, sexual exploitation)	Illegal border crossing only
Ongoing, coercive relationship	One-time transaction
Victims controlled by trafficker	Smuggled person is free after crossing
Funds typically move from victim to controller	Funds typically move from migrant to smuggler
Multiple small, regular payments	One-time large payment
Controller pays victim's living expenses	No ongoing relationship

[!] Human trafficking = ongoing exploitation. Human smuggling = one-time border crossing.

[SCENARIO] Construction Foreman Account Pattern A construction foreman's account receives 150 peer-to-peer payments (200–600 each) from 35 different individuals. Every Friday, 90 percent of the balance is withdrawn in cash. The account pays utility bills for three high-density residential properties. No employment contracts or payroll records exist.

What the Exam Tests: Recognizing forced labor trafficking indicators.

How to Analyze:

- 1 Multiple victims' wages deposited to single controller account
- 2 Controller pays utility bills for multiple residential properties (housing victims)
- 3 Cash withdrawals suggest physical collection of funds
- 4 No employment contracts or payroll records = no legitimate business

[TRAP] Common Distractor: "This is a legitimate payroll arrangement for a small construction crew." **[CORRECT] Correct Answer:** The pattern is highly indicative of human trafficking for forced labor. The analyst should consider filing a SAR.

[SCENARIO] Massage Parlor Network Accounts A bank identifies 12 accounts linked to the same group. Each account receives multiple small electronic payments (50–150) from dozens of individuals daily. Funds transfer to a central LLC that holds title to six commercial properties zoned for "personal services businesses" (massage parlors). The LLC pays mortgages, utilities, and property taxes. Individuals have no verifiable income other than deposits.

What the Exam Tests: Recognizing sex trafficking financial indicators.

How to Analyze:

- 1 Multiple small payments from many individuals = customer payments for commercial sex
- 2 Funds layered through accounts to real estate LLC
- 3 Real estate purchase with trafficking proceeds = integration stage
- 4 No verifiable income other than deposits = red flag

[TRAP] Common Distractor: "Personal services businesses are low-risk customer types."

[CORRECT] Correct Answer: The pattern is consistent with human trafficking for commercial sexual exploitation. The bank should file a SAR on the accounts and LLC.

Why NPOs Are Vulnerable

NPOs enjoy public trust, access high volumes of cash, and routinely operate in or near conflict zones where financial monitoring is weak.

NPO Terrorist Financing Red Flags:

- Large donation from a foreign charity operating in a conflict zone
- Rapid cash withdrawal (80 percent+ within 48 hours) far from headquarters
- Cash withdrawals inconsistent with stated charitable mission
- No verifiable charitable activities or documentation
- Transfers to other NPOs in conflict zones where terrorist groups operate
- Leadership cannot provide documentation of charitable expenditures
- NPO with no physical presence, employees, or verifiable activities (shell NPO)

FATF Recommendation 8 Requirements:

- Targeted risk-based supervision of NPOs vulnerable to TF abuse
- Not all NPOs - only those identified as vulnerable
- Mechanisms to ensure NPOs are not misused by terrorist organizations
- Outreach and awareness programs for NPOs

[!] NPOs operating in conflict zones where terrorist groups control aid distribution require EDD.

[SCENARIO] Conflict Zone Charity with Rapid Cash Withdrawal An NPO registered in a low-risk jurisdiction receives a \$2 million donation from a foreign charity operating in Conflict Zone Z where terrorist groups operate. Within 48 hours, the NPO withdraws \$1.6 million in cash from a branch 300km from its headquarters, in a region with known terrorist activity. The remaining funds are wired to other NPOs in conflict zones. Leadership cannot provide documentation of school construction matching the cash withdrawals.

What the Exam Tests: Recognizing NPO terrorist financing red flags.

How to Analyze:

- ❶ Rapid cash withdrawal (80 percent within 48 hours) is a significant red flag
- ❷ Withdrawal location far from headquarters suggests diversion
- ❸ Donation from conflict zone with terrorist activity requires enhanced scrutiny
- ❹ No documentation of charitable activities = funds likely diverted

[TRAP] Common Distractor: "NPOs often operate in remote areas where cash is the only practical payment method." **[CORRECT] Correct Answer: The rapid cash withdrawal velocity mismatch with charitable mission is the most indicative red flag. Bank should file SAR and consider terminating the account.**

Key Virtual Asset Vulnerabilities

Virtual assets offer speed, cross-border transferability, and varying degrees of anonymity.

Virtual Asset Red Flags:

- Use of anonymity-enhanced cryptocurrencies (Monero, Zcash)
- Use of crypto mixers and tumblers to break transaction trail
- Rapid conversion between different virtual assets
- Use of cross-chain bridges to move between blockchains
- Transactions involving DeFi protocols with no KYC
- Customer refuses to explain source of virtual assets
- Transfer from known illicit wallet (ransomware, darknet markets)

FATF Travel Rule for Virtual Assets:

- Originator and beneficiary information must be collected and shared
- Required for transfers above threshold (typically 1,000 USD/EUR)
- Both sending and receiving VASPs have obligations

[!] Privacy coins + mixers + cross-chain bridges = high-risk layering pattern.

[SCENARIO] Customer Deposits Monero, Uses Mixer, Converts to Bitcoin, Withdraws Fiat

A customer deposits 500 Monero (XMR), sends it through a non-regulated mixer, converts to Bitcoin, and requests fiat withdrawal of \$450,000 to a bank in a weak AML jurisdiction. Customer refuses to explain source of XMR, stating "it's private personal savings."

What the Exam Tests: Recognizing privacy coin and mixer layering patterns.

How to Analyze:

- 1 Monero uses ring signatures and stealth addresses - obscures transaction trail
- 2 Mixer pools funds and redistributes - breaks audit trail
- 3 Rapid conversion to Bitcoin then fiat = layering
- 4 Refusal to explain source after mixing is significant red flag

[TRAP] Common Distractor: "The use of Monero alone is standard practice and requires no additional scrutiny." **[CORRECT] Correct Answer:** The sequence of privacy coin deposit, mixing, conversion, and rapid fiat withdrawal is a classic layering pattern requiring EDD and potential SAR filing.

[SCENARIO] Circular NFT Trading to Inflate Value 17 wallets controlled by Individual P buy and sell the same NFTs back and forth 89 times over 60 days, with prices escalating from \$2,000 to \$340,000. All wallets are funded from the same exchange account. Individual P then sells one NFT to an unconnected third party for \$310,000 and converts to fiat.

What the Exam Tests: Recognizing NFT wash trading as a money laundering technique.

How to Analyze:

- ① Circular trading between self-controlled wallets = wash trading
- ② Artificially inflates price to create fraudulent market record
- ③ Selling to unwitting third party at inflated price = layering/integration
- ④ Exchange that funded wallets should file SAR

[TRAP] Common Distractor: "NFTs are considered art, not financial instruments, so AML regulations don't apply." **[CORRECT] Correct Answer: NFT wash trading is a recognized money laundering typology. The exchange should file a SAR based on the circular trading pattern.**

Key Correspondent Banking Vulnerabilities

Correspondent banking involves one bank (correspondent) providing services to another bank (respondent) - creating potential AML gaps.

Correspondent Banking Red Flags:

- Respondent bank services unlicensed MSBs or NBFIs
- Nested transactions from undisclosed downstream clients
- Large round-dollar wire transfers with vague descriptions
- Transactions routed through multiple intermediaries
- Respondent bank in jurisdiction with weak AML enforcement
- Respondent bank's customer base includes high-risk segments
- Payable-through accounts with no CDD on underlying accountholders

Nested Account Risk: When a respondent bank allows third-party banks to route transactions through the correspondent account without disclosure, the correspondent loses visibility into true originators and beneficiaries - a critical due diligence gap.

[!] Nested transactions without disclosure = complete loss of visibility.

[SCENARIO] Respondent Bank Routes Transactions for Unlicensed Crypto Exchange A

European correspondent bank discovers that its respondent bank has been routing transactions for CryptoX, an unregulated virtual asset exchange, through the correspondent account without disclosure. Transactions are large round-sum wires (750k–2 million) with vague descriptions like "consulting fees." Ultimate originators and beneficiaries are not identifiable.

What the Exam Tests: Correspondent bank obligations for nested accounts.

How to Analyze:

- ❶ Undisclosed nesting means correspondent lost visibility
- ❷ This violates core correspondent banking due diligence standards
- ❸ Correspondent must file SAR and issue RFI to respondent
- ❹ Relationship may need to be terminated

[TRAP] Common Distractor: "The respondent bank holds a valid banking license, so the correspondent has no liability." **[CORRECT] Correct Answer:** The correspondent bank faces direct regulatory exposure. It must file a SAR, issue an RFI to the respondent, and reassess whether to continue the relationship.

PTA Definition and Obligations

A PTA allows the respondent bank's customers to initiate transactions directly through the correspondent's payment systems.

Correspondent Bank PTA Obligations (U.S. Regulations):

- Must apply CDD requirements directly to underlying PTA accountholders
- Cannot rely solely on respondent bank's CDD
- Must maintain records identifying each PTA accountholder
- Must monitor transactions from PTA accountholders

PTA Red Flags:

- Multiple PTA accountholders sending consistent \$9,500 wires to same shell company
- Wires occurring within minutes of each other on same business days
- No individual CDD performed on PTA accountholders at onboarding
- Aggregate flow exceeds expected volume

[TRAP] Common Distractor: "The PTA agreement shifts all AML responsibility to the respondent bank." **[CORRECT] Correct Answer: Under U.S. regulations, the correspondent bank must apply CDD directly to underlying PTA accountholders.**

Casino Vulnerabilities

Casinos are used to convert criminal cash into negotiable instruments (checks, chips) with an appearance of legitimate gambling origin.

Casino Red Flags:

- Purchasing large volume of chips with cash, minimal gambling, cashing out for check
- Multiple individuals purchasing chips for same player
- Using third-party checks or wire transfers to purchase chips
- Structured cash purchases just below reporting thresholds
- Playing low-risk games (e.g., slot machines with high payout rates) to preserve value
- "Chip washing" - converting cash to chips and back to check with small loss

Casino AML Obligations (U.S. BSA):

- Casinos with gross gaming revenue $\geq$ \$1 million are financial institutions
- Must file CTRs for cash transactions exceeding \$10,000 in a gaming day
- Must file SARs for suspicious activity exceeding \$5,000
- Must have AML compliance programs

[!] "Chip washing" combines placement and integration - cash becomes a documented casino check.

[SCENARIO] Player Purchases \$300,000 in Chips, Plays 45 Minutes, Cashes Out for Check

A player purchases \$300,000 in chips with cash, plays blackjack for 45 minutes with 1,500 in chips, then cashes out 297,000 for a casino check, accepting the \$3,000 loss as a "laundry fee."

What the Exam Tests: Recognizing chip washing as money laundering.

How to Analyze:

- ① Large cash purchase of chips = placement
- ② Minimal gambling = not legitimate gaming
- ③ Cashing out for check = integration (check appears to be gambling winnings)
- ④ The \$3,000 loss is the cost of laundering

[TRAP] Common Distractor: "The player actually gambled, so the transaction has a legitimate gaming purpose." **[CORRECT] Correct Answer:** The casino must file a CTR for the \$300,000 cash-in AND a SAR for the chip washing pattern (minimal gambling, cashing out for check).

What is Hawala?

An informal value transfer system operating outside formal banking, based on trust and reciprocal obligations between brokers (hawaladars).

Hawala Characteristics:

- Transactions settled through trust-based obligations, not formal banking records
- Hawaladars maintain informal ledgers (hawala books) to track reciprocal obligations
- No physical currency crosses borders
- Client gives cash to hawaladar; counterpart delivers equivalent in another country
- Settlements occur through future transactions (netting)

Why Hawala is a High AML Risk:

- No traceable banking record of underlying transaction
- Identities of parties may not be recorded
- Operates outside formal financial system
- Used by legitimate businesses (migrant remittances) AND criminal networks

Regulatory Requirements:

- FATF Recommendation 14 requires MVTs providers to be licensed or registered
- Hawala operators are NOT exempt - must be licensed
- Unlicensed operators subject to criminal sanctions

[!] Hawala operators must register as MSBs - no cultural heritage exemption.

[SCENARIO] Hawaladar Operating from Convenience Store, No MSB Registration A hawaladar in New York accepts \$80,000 in cash from a courier, records a coded reference number, and calls a counterpart in Karachi who pays the equivalent in rupees. No wire transfer occurs; no bank account is used. Over 36 months, the network processed an estimated \$22 million. The hawaladar has no FinCEN MSB registration.

What the Exam Tests: MSB registration requirements for hawala operators.

How to Analyze:

- 1 Hawala is a money or value transfer service (MVTs)
- 2 FATF Recommendation 14 requires licensing or registration
- 3 Hawaladar is required to register as an MSB with FinCEN
- 4 Failure to register is a criminal violation (18 U.S.C. Section 1960)
- 5 Processing criminal proceeds adds money laundering charges

[TRAP] Common Distractor: "Hawala is exempt from AML regulation due to its cultural heritage status." **[CORRECT] Correct Answer: Hawaladar must register as an MSB. Failure to register and processing criminal proceeds exposes him to criminal liability under 18 U.S.C. Section 1960 and money laundering charges.**

What is a Money Mule?

A person who receives and transfers illicit funds through their account, often unknowingly recruited, for a commission.

Money Mule Red Flags:

- Account receives multiple incoming P2P transfers from dozens of different individuals
- Transfers typically under \$500 each (below reporting thresholds)
- Immediate aggregated wire transfers to offshore shell company
- Account holder (often student) with no verifiable income
- Transfers out shortly after receiving funds
- Inconsistent with customer's stated occupation or expected activity

Money Mule Recruitment Typology:

- "Work from home" job offers
- "Transfer funds for a commission" arrangements
- Romance scams (victim acts as mule unwittingly)
- Student recruitment (easy money for students)

[!] The mule is often a victim of a recruitment scam, but the account is used for layering stolen funds.

[SCENARIO] College Student Account with Multiple P2P Transfers An account shows multiple incoming peer-to-peer transfers from dozens of different individuals under \$500 each, followed by immediate aggregated wire transfers to an offshore shell company account. The account holder is a college student with no verifiable income.

What the Exam Tests: Recognizing money mule account typology.

How to Analyze:

- ① Multiple small incoming transfers from many senders = structured layering
- ② Immediate aggregation and wire to offshore shell company = mule network
- ③ College student with no verifiable income = mule profile
- ④ Pattern is classic money mule account for layering stolen funds

[TRAP] Common Distractor: "The student is likely saving money from multiple jobs."

[CORRECT] Correct Answer: The pattern is most likely a money mule account for layering stolen funds. The bank should file a SAR.

Prepaid Card Vulnerabilities

Open-loop prepaid cards offer global liquidity, portability, and can bypass physical border declarations that apply to bulk cash.

Prepaid Card Red Flags:

- Purchasing multiple cards with cash at various retail locations
- Each card loaded just below reporting threshold (\$9,500 vs. \$10,000 CTR)
- Cards purchased over time to aggregate large value
- Traveler carrying numerous cards (50+ cards)
- Destination is high-risk or under-FinCEN-scrutiny jurisdiction
- Cards not linked to any bank account

Structuring with Prepaid Cards: Purchasing multiple prepaid cards with cash amounts just below the CTR threshold is a form of structuring - a federal crime independent of the underlying source of funds.

Border Reporting Evasion: Prepaid cards are classified as monetary instruments under BSA regulations. Carrying multiple cards with aggregate value exceeding \$10,000 without declaration violates currency reporting requirements.

[!] Prepaid cards can be used to structure cash and evade border currency reporting.

[SCENARIO] Traveler Carrying 50 Prepaid Cards, Each Loaded with \$9,500 A traveler is stopped at customs carrying 50 prepaid debit cards, each loaded with \$9,500, purchased with cash at multiple retail locations over 30 days. The traveler is flying to a jurisdiction under FinCEN heightened scrutiny. Total value = \$475,000.

What the Exam Tests: Prepaid card structuring and border evasion.

How to Analyze:

- ① Each card purchased at \$9,500 = just below \$10,000 CTR threshold
- ② Multiple cards purchased over time = structuring to avoid CTRs
- ③ Cards are monetary instruments - aggregate value exceeds declaration threshold
- ④ Traveler may have violated structuring laws AND currency reporting requirements

[TRAP] Common Distractor: "Prepaid cards are retail products not subject to currency controls." **[CORRECT] Correct Answer: The traveler may have violated structuring laws (purchasing at \$9,500) and evaded currency reporting requirements (prepaid cards are monetary instruments under BSA).**

Real Estate Vulnerabilities

Real estate is an ideal integration vehicle - it holds value, generates legitimate income, and can be sold to convert illicit funds to clean proceeds.

Real Estate Red Flags:

- All-cash purchases through anonymous LLCs
- Purchase funds from pooled attorney trust accounts (IOLTA)
- Rapid LLC formation just before closing
- Attorney refusal to identify beneficial owner (citing privilege)
- Purchase price significantly above or below market value
- Rapid appreciation and sale with no legitimate explanation
- Funds sourced from offshore shell companies or secrecy havens

FinCEN Geographic Targeting Orders (GTOs):

- Require title insurance companies to identify beneficial owners behind all-cash purchases above threshold
- Target specific metropolitan areas identified as high-risk
- Apply to residential real estate transactions

[!] Anonymous LLC + IOLTA funds + attorney refusal = multiple red flags requiring EDD.

[SCENARIO] Luxury Condo Purchase Through Anonymous LLC A \$6.5 million luxury condominium is purchased by a Delaware LLC formed 10 days before closing. Funds arrive from a law firm's IOLTA account. The LLC's registered agent is a corporate service provider known for forming anonymous companies. The law firm refuses to identify the beneficial owner, citing privilege.

What the Exam Tests: Recognizing real estate money laundering red flags.

How to Analyze:

- ① Anonymous LLC (Delaware) with rapid formation = red flag
- ② IOLTA pooled funds = bank may not look through to individual client
- ③ Attorney refusal to identify beneficial owner = significant red flag
- ④ Combination of factors requires enhanced due diligence

[TRAP] Common Distractor: "Licensed attorneys are exempt from AML scrutiny due to privilege." **[CORRECT] Correct Answer:** The combination of anonymous LLC, IOLTA funds, attorney refusal, and rapid LLC formation constitutes multiple red flags requiring EDD and potential SAR filing.

[SCENARIO] Hotel Purchase and Sale After 2 Years of Legitimate Operation Structured funds (\$9,500 deposits over 24 months) are aggregated and used to purchase a beachfront resort for \$14 million in cash. The resort operates for 2 years, generating legitimate revenue. The criminal organization then sells the resort for \$18 million and invests proceeds in a stock portfolio.

What the Exam Tests: Recognizing integration through real estate.

How to Analyze:

- ① Original \$9,500 deposits = placement
- ② Resort purchase = layering (converting cash to property)
- ③ Resort operation and sale = INTEGRATION (legitimate rental income and sale proceeds)
- ④ Rapid appreciation (\$14M to \$18M in 2 years) combined with anonymous LLC purchase warrants SAR filing

[TRAP] Common Distractor: "The sale is between arms-length parties with a legitimate resort operation, so no SAR is needed." **[CORRECT] Correct Answer: The sale of the resort and deposit of proceeds represents integration. The rapid appreciation combined with original anonymous LLC purchase and structured funding warrants a SAR filing.**

Why IOLTA Accounts Are Vulnerable

Banks often rely on the attorney's professional status without looking through to individual client sub-transactions. Multiple client funds are pooled together, obscuring the origin of specific funds.

IOLTA Red Flags:

- Large wire into IOLTA from offshore shell company
- Retainer amount disproportionate to the legal engagement
- Attorney has never met the client in person
- Rapid disbursement of funds after receipt
- Disbursement to offshore shell companies or other high-risk jurisdictions
- Attorney cannot explain the nature of the legal matter

Exam Scenario Example: A law firm receives \$5.5 million into its IOLTA account from a Cyprus shell company for a \$12,000 retainer. The partner has never met the client. The firm disburses \$5.2 million to a UAE shell company within 5 days, retaining \$300,000 as a "success fee."

[TRAP] Common Distractor: "IOLTA accounts are exempt from AML reporting due to attorney-client privilege." **[CORRECT] Correct Answer:** The law firm's IOLTA functions as a blind pass-through vehicle. The disproportionate amount relative to retainer, offshore source, no face-to-face contact, and rapid disbursement are all red flags.

FTZ Vulnerabilities

Relaxed regulatory oversight, minimal customs documentation inspections, and intense volume of re-exported goods create TBML opportunities.

FTZ Red Flags:

- Uniform invoice values regardless of cargo type
- Physical inspection reveals cargo different from declared goods
- Empty containers declared as containing goods (phantom shipping)
- Altered bills of lading after FTZ processing
- Nominee directors with no legitimate business role
- No verifiable manufacturing or logistics capability

Exam Scenario Example: A shipping company operating exclusively in an FTZ processed 340 containers declared as "industrial parts" with uniform invoice value of \$30,000. Inspection revealed one empty, one containing furniture, and one containing luxury electronics worth \$400,000. Bills of lading altered to show generic descriptions. Director is a legal nominee.

[TRAP] Common Distractor: "FTZs are supervised by customs authorities, so no additional AML scrutiny is needed." **[CORRECT] Correct Answer:** The uniform invoice value regardless of cargo, empty containers (phantom shipping), mislabeling, and nominee director all constitute money laundering red flags requiring escalation.

- 1 Placement = introducing funds into system (structuring, cash deposits)
- 2 Layering = obscuring the audit trail (wire transfers, shell companies)
- 3 Integration = making funds appear legitimate (real estate, businesses)
- 4 Over-invoicing transfers value TO exporter
- 5 Under-invoicing transfers value TO importer
- 6 Phantom shipping = no goods, only paper documentation
- 7 Bearer shares = anonymous ownership (high risk)
- 8 BMPE uses narco-dollars to pay U.S. commercial invoices
- 9 Foreign PEPs require full EDD and senior management approval
- 10 PEP family members also require EDD
- 11 Human trafficking = ongoing exploitation (multiple small payments)
- 12 Human smuggling = one-time border crossing (single large payment)
- 13 NPO rapid cash withdrawal (80 percent+ in 48 hours) = TF red flag
- 14 Privacy coins + mixers + cross-chain bridges = layering
- 15 NFT wash trading = circular trading to inflate value
- 16 Nested correspondent transactions = loss of visibility
- 17 PTA requires correspondent to perform CDD on underlying account holders
- 18 Casino chip washing = placement + integration
- 19 Hawala operators must register as MSBs (no cultural exemption)
- 20 Money mules receive small transfers and wire to offshore shell companies
- 21 Prepaid cards can structure cash and evade border reporting
- 22 Real estate all-cash purchases through anonymous LLCs = red flag
- 23 IOLTA accounts are blind pass-through vehicles
- 24 FTZs enable phantom shipping and cargo mislabeling
- 25 Structuring is a federal crime regardless of source of funds
- 26 Self-laundering IS criminalized under FATF standards
- 27 Trust UBOs include protector with veto power
- 28 Dual-use goods to sanctioned countries = proliferation financing
- 29 Terrorist financing has no minimum threshold

- \$9,500 cash deposits → Structuring
- 80 percent cash withdrawal in 48 hours for NPO → TF red flag
- Invoice price 80 percent below market → Under-invoicing (TBML)
- Multiple small payments to controller account → Human trafficking
- Anonymous LLC + IOLTA funds → Real estate layering
- Monero + mixer + Bitcoin → Privacy coin layering
- Undisclosed nested correspondent → Loss of visibility
- Chip purchase, minimal play, cash out → Casino chip wash
- Hawala with no MSB registration → Regulatory violation
- College student with mule pattern → Money mule account
- 50 prepaid cards at \$9,500 each → Structuring
- Bearer shares with no UBO disclosure → CDD failure
- Foreign PEP with unexplained wealth → EDD required
- Protector with veto power → Trust UBO
- Dual-use goods to sanctioned country → Proliferation financing
- \$10,000 TF threshold → Violates FATF Rec. 5

- Domain A is 20 percent of exam
- Know the THREE stages of ML and be able to identify them in scenarios
- TBML techniques: over-invoicing (value to exporter) vs. under-invoicing (value to importer)
- Bearer shares are high-risk - immobilization does NOT eliminate CDD obligation
- Foreign PEPs require full EDD; family members also require EDD
- Human trafficking = ongoing exploitation (multiple small payments)
- Human smuggling = one-time border crossing (single large payment)
- NPO rapid cash withdrawal = terrorist financing red flag
- Privacy coins + mixers = high-risk layering pattern
- Nested correspondent accounts without disclosure = loss of visibility
- PTA requires correspondent to perform CDD on underlying accountholders
- Casino chip washing requires both CTR and SAR
- Hawala operators must register as MSBs - no cultural exemption
- Prepaid cards can be used for structuring and border evasion
- Real estate all-cash through anonymous LLCs = multiple red flags
- IOLTA accounts are blind pass-through vehicles
- Structuring is a federal crime regardless of source of funds
- Terrorist financing has NO minimum threshold
- Self-laundering IS criminalized under FATF Rec. 3

[Right] Good luck on your CAMS exam!